

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: January 26, 2026

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON COMPLAINANT’S SIXTH AND SEVENTH MOTIONS FOR CONFIDENTIAL TREATMENT

This matter came on for consideration of: 1) Complainant’s Sixth Motion for Confidential Treatment filed August 15, 2025 (“Sixth Motion”); and 2) Complainant’s Seventh Motion for Confidential Treatment filed November 13, 2025 (“Seventh Motion”). (Dkt. 78 and 98.) Respondent did not file an opposition to either motion. Both motions state that Respondent represented that it would oppose any confidential designations it considers improper. For the reasons set forth more fully below, Complainant’s motions are **DENIED WITHOUT PREJUDICE** on the grounds that: 1) the requirements of the 46 C.F.R. § 505.5(b) and the Initial Order have not been satisfied; and 2) the motions fail to comply with the prior order issued in this proceeding concerning the limitations of redactions of personally identifiable information (“PII”) and the definition of PII set forth in 46 C.F.R. § 502.13. In addition, Complainant is directed to resubmit public and private versions of previous filing as specified herein.

A. Complainant’s Motions

Complainant’s Sixth Motion seeks confidential treatment of the highlighted portions of its Initial Brief, Appendix, and Proposed Findings of Fact (“PFF”) pursuant to 46 C.F.R. § 505.5(b). In support of this relief, Complainant states:

On December 13, 2024, Peloton and Flexport entered a Stipulation of Confidentiality (“Confidentiality Agreement”), which provides among other things, that “Confidential Material which is to be filed with the ALJ or Commission, or materials containing, reproducing, incorporating or otherwise disclosing Confidential Material shall be filed and labeled in accordance with 46 C.F.R. § 502.5.”

Confidentiality is necessary here because the Brief, Appendix, and PFF include documentation and/or deposition testimony designated by the parties as Confidential Material. The nature of this documentation and testimony is commercially sensitive as it contains direct recitations of confidential contract terms, the identity of and contractual terms with direct competitors, and personally identifiable information

such as financial account information and personal contact information. In accordance with the Confidentiality Agreement, Peloton is seeking confidential treatment of confidential information contained in the Brief, Appendix, and PFF designated as Confidential Material by the parties. In accordance with the Presiding Officer's recommendation in the Initial Order, Peloton also submits a confidentiality matrix that outlines all confidential material for Peloton's Brief, Appendix, and PFF as Exhibit A. Pursuant to Rule 5(b), Peloton will file a confidential and public version of the Brief, Appendix, and PFF.

(Sixth Motion at 1-2.)

Complainant's Seventh Motion seeks confidential treatment of the highlighted portions of its Reply Brief, Appendix, and Responses to Respondent's Proposed Findings of Fact ("PRPFF") pursuant to 46 C.F.R. § 505.5(b). In support of this relief, Complainant states:

On December 13, 2024, Peloton and Flexport entered a Stipulation of Confidentiality ("Confidentiality Agreement"), which provides among other things, that "Confidential Material which is to be filed with the ALJ or Commission, or materials containing, reproducing, incorporating or otherwise disclosing Confidential Material shall be filed and labeled in accordance with 46 C.F.R. § 502.5."

Confidentiality is required in this context because the Reply Brief and PRPFF contain documentation and deposition testimony that the parties have designated as Confidential Material. This material is similar in nature to that addressed in Complainant's Sixth Motion for Confidential Treatment, which was filed concurrently with Peloton's Initial Brief in Support of its Claims Against Flexport ("Initial Brief"), Appendix, and Proposed Findings of Fact ("PFF"). Specifically, it includes commercially sensitive information such as confidential contract terms, proprietary business information, and details identifying direct competitors and their contractual arrangements. In accordance with the Confidentiality Agreement, Peloton seeks confidential treatment for all such information within the Reply Brief and PRPFF designated as Confidential Material by the parties. Pursuant to Rule 5(b), Peloton will submit both confidential and public versions of the Reply Brief and PRPFF.

(Seventh Motion at 1-2.)

B. Legal Framework

1. Rule 502.5

46 C.F.R. § 502.5 states in pertinent part:

(b) Motion for confidential treatment. If confidentiality is sought for a filing containing information not previously designated as confidential by the Commission or presiding officer, the confidential filing must be accompanied by a motion justifying confidential treatment. This motion must identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research,

development, or commercial information pursuant to § 502.141(j)(1)(vii). The burden is on the party that wants to protect the information to show good cause for its protection. A motion is not required for information, including personal privacy and financial account numbers, redacted pursuant to § 502.13, Privacy protection for filings made with the Commission.

(c) Use of confidential information. Confidential treatment afforded by this section is subject to the proviso that any information designated as confidential may be used by the administrative law judge or the Commission if deemed necessary to a decision in the proceeding. [Rule 5.]

2. Initial Order

The Initial Order served May 24, 2024 (Dkt. 4), contains instructions that the parties must follow throughout the course of the proceeding. With respect to confidential material, the order sets forth separate rules that are applicable to the designation of confidential material for use in discovery and for use in a proceeding.

With respect to use in discovery, ¶ 20 of the Initial Order provides:

Stipulation – The parties may agree and stipulate between themselves regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. The parties may, but are not required to, file a courtesy copy of the agreement with the Commission.

With respect to use in a proceeding, ¶ 21 of the Initial Order provides:

Use in the proceeding – If confidential information is filed in a memorandum or as an exhibit to a dispositive motion or as part of briefing on the merits, it must be accompanied by a motion justifying confidential treatment. This motion must identify each item for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection.

With respect to the marking of confidential material, ¶ 24 provides:

Marking confidential material – In the confidential version, the confidential information must be conspicuously and clearly marked on each page, for example by outlining, highlighting, boxes, or braces. The public version must clearly indicate any omissions, for example with blackout or braces. *Pagination and depiction of text on each page must be identical to that of the confidential version.* For example, the confidential filing may read: “On January 1, 2010, Complainant entered into a {25} year lease with respondent for a monthly rent of {\$1000}.” The public version would read: “On January 1, 2010, Complainant entered into a {25} year lease with Respondent for a monthly rent of

{§1000}.” Only confidential numbers or words should be marked as confidential in the confidential version and thus redacted in the public version, not entire sentences. Improperly marked filings may be rejected.

With respect to personal information, ¶ 26 provides:

Personal information – Personally identifiable information such as social security numbers, birth dates, and financial account numbers must be redacted pursuant to Commission Rule 13. 46 C.F.R. § 502.13.

With respect to the Confidential Bates Table, ¶ 27 includes the following example:

<i>Bates Range</i>	<i>Description</i>	<i>Classification Requested for</i>	<i>Basis for Confidentiality Request</i>
CX 12-13	Depo. Transcript of [Name]	Material indicated	Current pricing data
RX 8-9	Agreement dated [dd/mm/yy]	Entire page range	Commercially sensitive rates and terms

3. Prior Order

In the May 15, 2025, Order on Pending Motions, Judge Crovella stated that pursuant to the Initial Order “which cites to Commission Rule 13, personally identifiable information includes social security numbers, birth dates, and financial account numbers, not employee names or their employee email addresses, corporate email addresses, corporate names, or corporate addresses. Complainant has provided no case authority that holds otherwise.” (Dkt. 62 at 6.)

C. Discussion

The motions for confidential treatment are deficient because they do not satisfy the higher standard applicable for use in a proceeding, but rather seek a continuation of the lower standard applicable in discovery. Both motions fail to identify “the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii)” as required by 46 C.F.R. § 502.5. Rather, the motions cite to the Confidentiality Agreement entered into between the parties and assert that the information for which confidential treatment is requested is “commercially sensitive as it

contains direct recitations of confidential contract terms, the identity of and contractual terms with direct competitors, and personally identifiable information such as financial account information and personal contact information.” Although this general designation may be sufficient to support a stipulation between the parties for purposes of discovery, it is not sufficient to meet the higher standard applicable to use in a proceeding, which requires a party to “show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1).”

In support of the motions for confidential treatment, Complainant provided a 43 page Confidential Bates Table that it refers to as a “confidentiality matrix,” which is attached as Exhibit A to the Sixth Motion. A review of the confidentiality matrix reveals that although its format conforms to the sample set forth in ¶ 27 of the Initial Order, it is substantively deficient for a number of reasons. As a result, Complainant has over-designated information entitled to confidential treatment for use in this proceeding.

Complainant’s redactions appear as highlighted text on each document for which confidential treatment has been requested. In general, rather than narrowly tailoring the redactions to fit the basis for confidentiality request asserted, the redactions are over-designated and include text with no apparent relation to the basis asserted. For example, the redactions at Bates Range B-1097 with the stated basis of “Commercially sensitive rates” include five lines of text unrelated to rates in a deposition transcript in which only two rates appear. Another example of the same over-designation occurs at Bates Range B-1412-1413, in which five lines of text are redacted despite that only two rates appear. The redaction of text beyond the stated basis asserted does not comply with the example of how to mark confidential material at ¶ 24 of the Initial Order, which provides: “Only confidential numbers or words should be marked as confidential in the confidential version and thus redacted in the public version, not entire sentences. Improperly marked filings may be rejected.” A review of Complainant’s matrix shows that this type of over-designation is prevalent rather than an exception to the rule. Although there are invoices such as the example at Bates Range E-006-008 in which only rates are redacted, blocks of text are routinely redacted in deposition transcripts and other documents without any obvious justification for doing so.

Complainant’s stated bases for asserting confidentiality are also general rather than specific as required by the template at ¶ 27 of the Initial Order, which lists “current pricing data” and “commercially sensitive rates and terms” as examples of appropriate bases in support of confidential treatment. Complainant frequently supports a redaction with the generic statement that it is “Commercially sensitive business information” without specifying the category of business information that has been redacted and that is not obvious based on the text redacted. This generic classification is insufficient to meet Complainant’s burden to “show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1).”

Although a review of the record reveals that Complainant’s over-designation of text beyond what is reasonable is pervasive, a few examples are provided for purposes of supporting the findings in this order. Examples of over-designation occur at Bates Range B-1713-1715 and B-1970-1974 in which the text of entire sections of a deposition are redacted for no apparent reason. The fact that a word or phrase is confidential does not justify the wholesale redaction of

deposition transcripts. In order to meet the heightened burden of asserting confidentiality for use in a proceeding, Complainant needs to specify the nature of the commercially sensitive information for which confidential treatment is requested and redact only the relevant text, specifying whether it is the name of a customer, supplier, contract term, rate, etc. Only when a specific basis for the redaction of particular text is provided will there be a sufficient designation for me to determine whether granting confidential treatment is appropriate.

Similar over-designations occur with emails, an example of which is found at Bates Range E-0065 in which the entire content of an email is redacted as “Commercially sensitive contract rates” despite that most of the redacted text has nothing to do with contract rates.

Complainant also frequently designates large blocks of deposition text as subject to attorney client privilege despite that no objection other than for form was raised at deposition. Examples of this occur Bates Range B-1503-1521, B-1531-1535, B-1656, and D-1878-1882. To the extent that no objection was raised at deposition, Complainant’s motion fails to address why the claim of privilege was not waived based on the lack of an assertion of privilege. Moreover, the motion fails to provide sufficient information about the nature of the underlying communication to allow a determination of whether the privilege was properly asserted in the first place.

Similarly, Complainant frequently designates information as being protected by work product privilege without providing sufficient information in the motion from which I can determine whether or not the privilege has been properly invoked in the first place. Examples of this occur at Bates Range D-0125, D-0152-0153, D-0245, D-0248-0249.

Complainant also improperly designates blocks of deposition text as confidential by merely stating a basis of “Discussing confidential exhibit.” An example of this occurs at Bates Range D-0189-0191.

Complainant also improperly designates the name of an unknown entity as confidential by merely asserting the basis of “Third party communications” without describing the nature of the relationship sufficiently to determine whether the designation is proper or addressing the reason for the redaction in the motion. As such, it is unclear whether the name of the third party has properly been designated as confidential information. An example of this occurs at Bates Range C-0516-0518.

Complainant also improperly designates text as Financial Account information but redacts more than the last four digits of the financial account number and routing number in accordance with 46 C.F.R. § 502.13(a)(4). Examples of this occur at Bates Range C-0019, C-0434, E-0006-0008.

Complainant also frequently redacts names and contact information as PII despite that they do not: (1) meet the definition of personal information entitled to privacy protection in 46 C.F.R. § 502.13(a), which includes social security numbers, birth dates, and financial account numbers; or (2) comply with the order entered in this proceeding on May 15, 2025, finding that employee names, employee email addresses, corporate email addresses, corporate names, or corporate address do not constitute PII. (Dkt. 62 at 6.) Examples of this occur at Bates Range B-

3448 in which the name of an attorney is redacted. Another example of this occurs at Bates Range C-0234 in which phone numbers are redacted.

Complainant also redacted the entire contents of the letter at Bates Range F-0145-0152 sent by one of Respondent's employees to a third party concerning the actions of one of Complainant's expert witnesses on the basis that it constitutes "AEO-Sensitive third party communications" without addressing the grounds supporting confidential treatment of the document in the motion.

As Judge Chintella stated in *Samsung Electronics America, Inc. v. SM Line Corporation*, 2025 WL 866018, at *2 (ALJ February 22, 2024):

To carry the "good cause" burden under the analogous FRCP 26(c)(7), a party must first establish that the information is a trade secret or other confidential research, development, or commercial information and then demonstrate that its disclosure might be harmful. The burden then shifts to the party seeking discovery to establish that disclosure of a trade secret or other confidential information is relevant and necessary to the action. Finally, the district court must balance the need for discovery of the trade secrets against the claim of injury resulting from disclosure. *A Major Difference, Inc. v. Wellspring Prod., LLC*, 243 F.R.D. 415, 416-17 (D. Colo. 2006).

In federal district court litigation, courts typically enter protective orders reserving the "highly confidential" or "AEO" label for research, development, manufacturing information or patent prosecution information; the identity of suppliers, distributors, or potential or actual customers; technical analyses or comparisons of competitor's products; non-public financial or marketing research or analyses or comparisons of competitor's products and strategic product planning. *See, e.g. Royal Pac. Ltd. v. Faith Elec. Manufacture Co., Ltd.*, No. 1:17-CV-00357 VJ/KBM, 2019 WL 13140739, at *1 (D.N.M. Jan. 28, 2019); *Farmers Edge Inc. v. Farmobile, LLC*, No. 8:16CV191, 2016 WL 6212442, at *2 (D. Neb. Oct. 24, 2016).

Complainant's motions fail to establish good cause under this standard. Complainant's wholesale over-designation negatively impacts my ability to make factual findings necessary to render a decision in this proceeding that is cognizable to the parties and to the public at large. Requiring surgical precision when asserting confidential treatment for use in a proceeding is necessary to ensure my ability to render a decision. It will also narrow the universe of confidential material to be used in this proceeding and thereby reduce the need for me to use confidential information when deemed necessary to render a decision pursuant to 46 C.F.R. § 502.5(c).

D. Order

It is **ORDERED** that Complainant's Sixth and Seventh motions for confidential treatment are **DENIED WITHOUT PREJUDICE** (Dkt. 78 and 98); It is

FURTHER ORDERED that Complainant shall resubmit the confidential versions of its Initial Brief, Appendix, Proposed Findings of Fact, Reply Brief, and Responses to Respondent's Proposed Findings of Fact with appropriate markings and Confidential Bates Table as set forth above and in the Initial Order no later than **February 27, 2026**. It is

FURTHER ORDERED that Complainant shall file public versions of its Initial Brief, Appendix, Proposed Findings of Fact, Reply Brief, and Responses to Respondent's Proposed Findings of Fact no later than **February 27, 2026**. It is

FURTHER ORDERED that Complainant shall file any motion for confidential treatment no later than **March 13, 2026**.

MARY A. HERVEY -S

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Mary Apostolakos Hervey
Administrative Law Judge